AIESEC

AIESEC INDIA COMPENDIUM

Sub-document

Parent LC Services

Parent LC Services Model

This document explains the services that a Parent Entity shall provide to its Startup. Under each service, the following aspects are explained:
1. Expansions Management and Support
2. Financial & Legal Management
3. Organization Structure Subsystem
4. Training and Coaching Model
5. Services after the legislation of an SU1 to SU2/SU3
6. Parent LC Services Minimums

1. Expansions Management and Support

The Parent LC shall extend support to its Official Expansions and Startup(s) in the following areas:

1. Strategic Planning, Tracking & Reporting

1.1 A Parent LC representative needs to be present to facilitate the planning process for its Startup Level 2 and 3 twice in a year.
1.2 The Parent LC shall review and provide feedback on its Start-up entity's yearly plans.
1.3 Virtual Management to be tracked and implemented by Parent LC.
1.4 Monthly synergy meetings between the VP Expansions and the portfolio responsible for each portfolio run in the Expansions Entity. The concerned portfolio VP from the Parent LC can attend this meeting too.

2. Operational and Functional Support

2.1 The Executive Body of the Parent LC shall provide Operational and Functional Training to the Leadership Body of its Startup(s) on a quarterly basis
2.2 The Parent LC shall facilitate an EBM either monthly, bi-monthly (once in two months) or quarterly to Startup(s) based on the different levels.
   2.2.1 In the case of a Startup Level 1, the Parent LC shall facilitate an EBM monthly between the Parent LC EB and the SuD.
   2.2.2 In the case of a Startup Level 2, the Parent LC shall facilitate an EBM bi-monthly (once in two months) between the Parent LC EB and the SUD along with the Startup EB.
   2.2.3 In the case of a Startup Level 3, the Parent LC shall facilitate an EBM quarterly between the Parent LC EB and the SuP along with the SU EB
2.3 The LCVP Expansions shall facilitate one LBM or EBM for the expansion entity on a monthly basis.

3. Involvement in Parent LC forums

3.1 The Parent LC shall invite its Entity Head to Annual General Meeting, Entity Head Elections and Local Conferences.

3.2 The Entity Head needs to be present at the time of the Annual General Meeting conducted by the Parent LC

3.3 A Parent LC representative shall visit the expansions entity twice in a year from NLS to NLS. This will be checked Bi-annually in MSc Expansions Check at JNC & NLS.

3.4 Expansions Entity Head to be Voting Member in all Parent LC Forums. (Refer to clause 4 mentioned in Sub_doc E HR Policy of AIESEC in India)

4. *Representation at National Conferences*

4.1. Parent LC to ensure the presence of at least 1 representative from the Startup Level 2 at atleast two National/Regional Conferences. SUs to inform MCVP Expansions 14 days prior to legislation conference if membership can't attend the conference.

2. *Financial & Legal Management*

2.1. *Budgeting :*

2.1.1. The Parent LC should budget for all expansion entities allocated as part of the Parent LC budget.

2.1.2. An Expansion entity contract between Parent LC and the Expansion entity needs to be drafted with the consent of Entity Head, LCVP F&L and the Entity Head which needs to be signed and submitted by the Parent LC along with the AGM check.

2.1.3. Expansion Entity contract to be reviewed and renewed from every year for Parent Entity and Startups.

2.1.4. The Parent LC must take approval of Expansions Budget from SUD/SUP before the ratification of the budget at AGM. SUD/SUP to confirm the same through email which will be checked at MNC Expansions MSc check.

2.2. *Financial Support*

2.2.1. The amount to be transferred by the parent LC is equal to half of the total number of exchanges in the period multiplied by the average of cost per exchange and half of the BD income in the period multiplied by the average of cost per rupee for BD over the 2 years of the Expansion as Startup Level 2 and Startup Level 3.

2.2.2. Once the expansion gets upgraded, the total amount as invoiced by MCVP F, needs to be transferred from the Current account of the Parent LC to the account of the Expansion Entity up until the next NLM. This will be checked at NPM MNC.

2.2.3. The Parent LC is liable to bear the expenses of the Expansion Entity as defined in the Parent LC budget during their term as Expansions .

2.3. *Reserve Creation*

2.3.1 The parent LC is liable to transfer funds towards Reserve establishment of their Expansion Entity.

2.3.2. The reserve amount to be 25,000 which shall be deducted from the current account of Parent LC.

2.3.3. The amount needs to be transferred from the main account to the reserve account of the Parent LC at the end of the year and proof of the same needs to be submitted to MSC as part of the Annual Membership Check.

2.3.4. Once the expansion gets upgraded, the total amount needs to be transferred from the Reserve account of the Parent LC to the reserve account of the Expansion within 3 months of upgradation to LC. This will be checked at NPM MNC.

2.3.4.1. New LC will be exempted from Maintaining proposed LC Reserves suggested by MC from their ratified budget (as per clause 7.5. Sub Doc_G Entity Membership of AIESEC in India) for 2 years in order for them to sustain for a longer run. LC are mandated to maintain their proposed reserve criteria from their 3rd Year as an LC.

2.3.4.2. New LC will only be exempted from paying LC-LC Split of the conference where the LC was upgraded.

2.3.5. In the case, where the expansion does not get upgraded at the end of the first year or second year, the amount remains with the Parent LC in the Reserve account.

2.3.6. This model is applicable only for Expansions that get upgraded from a **Startup Unit 3** to a **Entity** .

2.3.7. Parent LC to submit a report of Entity Financial Plan for their SU 3 before every NPC with Clearance pattern towards their Expansions Entity once they get upgraded (as suggested by FSc) to ensure stable finances of both the entities during transfer of amount from Parent LC to New Entity .

3. *Organization Structure Subsystem*

3.1. *Expansion Entity Leadership Body Selection*

3.1.1 Parent LC to create Application Questionnaire for SUD application
3.1.2. The Parent LC must follow the highest Leadership body selection process of the Startups given by the MC.

4. *Training and Coaching Model*

4.1. *Expansion Entity Leadership Body Coaching & Training*

4.1.1 Parent LC to ensure the presence of at least 1 representative from the Startup at atleast two National/Regional Conferences. SUs to inform MCVP Expansions 14 days prior to legislation conference if membership can't attend the conference.
4.1.2 Parent LC Entity Head to have quarterly training visit with SUD/SUP
4.1.3 Monthly Coaching Spaces by LCVP Expansions for the highest leadership body of the Startup(s).

5. *Services after the legislation of an SU1 to SU2/SU3*

5.1. *Startup Entity Director training by the Entity Head to be done twice a year.*

5.2. *Leadership Body Training to be done by LCVP expansions and whomever they feel is required.*

5.3. *SUD Selections & SUP Elections*

5.3.1. During the existence as a Startup level 1 & 2, the parent LC should conduct a selection process for the appointment of Startup Director.
5.3.2. During the existence as Startup level 3 the parent LC should conduct an election process for the appointment of Startup President.
5.3.3. Parent LC Entity Head to be Voting Member in all Expansions Forums. (Refer to clause 4 mentioned in Sub_doc E HR Policy of AIESEC in India).

6. The services applicable based on the realities of each of the Expansion Entities can be found [here]

Note: If any of the above clauses are violated a mandate fine will be applicable according to the financial regulation of the compendium.